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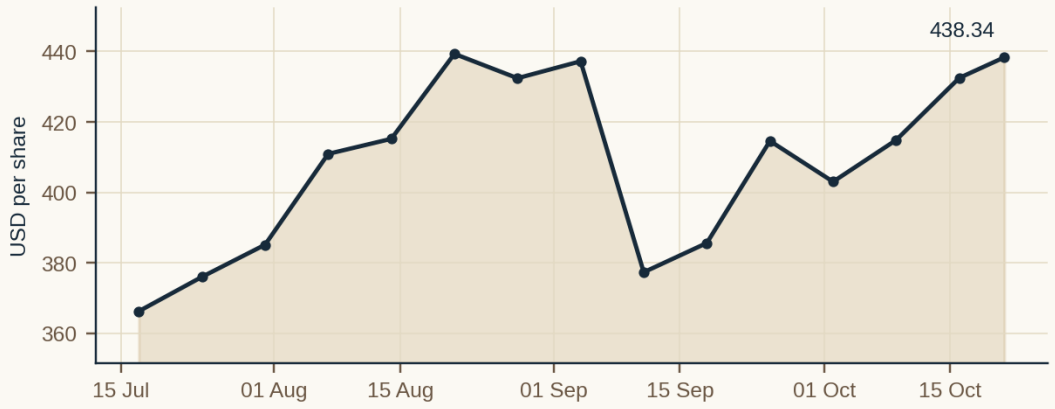
SERIES: PHARMA AND BIOTECH

Amgen Inc.

AMGN | NASDAQ Global Select Market

USD 438.34 per share

Closing price, Wednesday 21 October 2026, latest completed trading day



AMGN weekly closing price, 17 July 2026 to 21 October 2026, USD per share. Source: Alpha Vantage market data.

REPORT DATE
22 October 2026

ANALYST
Arthur Faugeron

SERIES
Pharma and Biotech

EXCHANGE
NASDAQ Global Select Market

Executive Summary

Amgen is a large, cash generative biologics company whose growth now depends on replacing fading franchises (denosumab, Enbrel, Otezla) with newer ones (Repatha, Evenity, Tezspire, Uplizna) while funding a late-stage obesity programme from a balance sheet that still carries USD 43.3bn of net debt. The shares trade near their 52-week high at 27.1 times trailing GAAP earnings and 16.2 times trailing EBITDA.

Business

Amgen discovers, manufactures and sells human therapeutics, mainly injectable biologics, across bone health, cardiovascular, inflammation, oncology and rare disease. FY2025 total revenue was USD 36.7bn, of which product sales were USD 35.1bn; 73% came from the United States, and three wholesalers (McKesson, Cencora and Cardinal Health) accounted for 77% of gross revenue.

Financial Condition

Revenue grew 9.9% in FY2025 and 9.5% in the second quarter of 2026. Over the twelve months to June 2026, revenue was USD 38.1bn, operating income USD 12.6bn (33.2% margin), EBITDA USD 17.3bn, net income USD 8.7bn, operating cash flow USD 12.5bn and free cash flow USD 10.2bn (26.7% margin). Net debt is USD 43.3bn, or 2.5 times EBITDA.

Market Position

Amgen competes with AbbVie, Regeneron, Novartis, Eli Lilly, Novo Nordisk and a growing field of biosimilar makers. Its main advantage is biologics manufacturing scale and a portfolio spread over more than 20 products with sales above USD 1bn or close to it; its main weakness is that denosumab (Prolia and Xgeva) still supplies 18.5% of product sales while biosimilars erode it at roughly one third per year.

Valuation

At USD 438.34 the market capitalisation is USD 237.0bn and enterprise value USD 280.3bn. Trailing P/E is 27.1x on GAAP earnings and 18.6x on forward earnings; EV/EBITDA is 16.2x, P/FCF 23.3x, EV/FCF 27.5x, free cash flow yield 4.3% and dividend yield 2.3%.

Investment Framework

WHAT IS ATTRACTIVE	Double-digit growth in the newer franchises, a 26.7% free cash flow margin, an improving credit profile (net debt to EBITDA down from 4.5x in 2023 to 2.5x) and a 2.3% dividend yield.
WHAT IS CONCERNING	Concentrated patent and policy exposure (denosumab, Enbrel, Otezla), 77% wholesaler concentration, goodwill and intangibles equal to 4.7 times book equity, and an average analyst target (USD 394.98) that sits 9.9% below the share price.
WHAT MUST GO RIGHT	Newer products must offset more than USD 3bn of annual erosion in older ones, and the MariTide Phase 3 programme must deliver a competitive efficacy and tolerability profile.
WHAT COULD BREAK THE THESIS	A failed obesity or Lp(a) outcome trial, harsher Medicare or most-favoured-nation pricing, or faster biosimilar erosion than the one third annual decline now visible in denosumab.
PRICED IN	A discounted cash flow on the current operating base supports roughly USD 265 to 400 per share; the price of USD 438 therefore capitalises pipeline value or a lower discount rate than the base case assumes.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Biologics with high gross margin (72.7% trailing) and recurring prescription demand, offset by patent cliffs.
Financial quality	Good. Operating cash flow was 1.4 times net income over the trailing year and free cash flow covers the dividend 1.9 times.
Competitive position	Moderate to strong. Scale and intellectual property are real, but several leading products face generic or biosimilar entry.
Growth profile	Moderate. Revenue grew 7.6% a year over five years; newer products grow 30 to 90% while older ones fall.
Balance-sheet risk	Moderate. Debt of USD 57.3bn and interest cover of 4.7x are manageable; book equity is only 12.2% of assets at June 2026.
Valuation	Full. 27.1x trailing earnings and the price is above the base-case DCF range.
Market and technical profile	Constructive but extended. Price is 18.3% above the 200-day average and within 0.2% of its 52-week high; beta is low (0.40).

Source: analyst assessment based on the data in Sections B and C.

A. About the Business

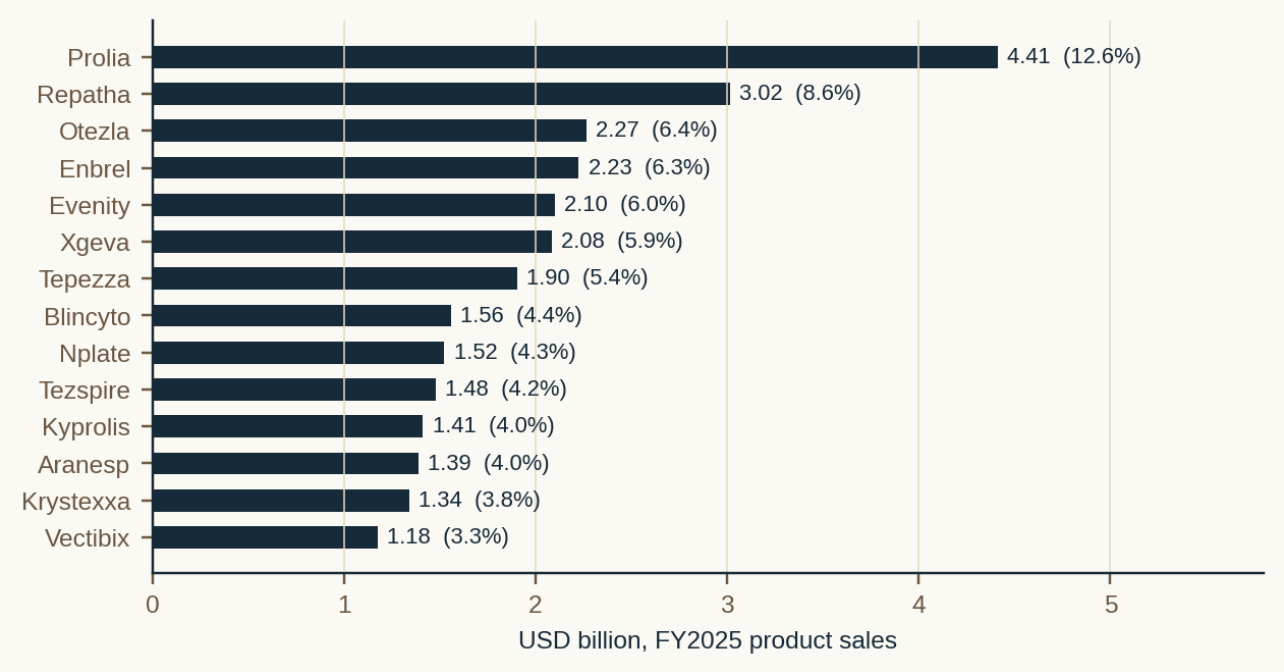
A1. Business Environment

Amgen operates in branded biopharmaceuticals, specifically large-molecule (biologic) therapies that are discovered through R&D, protected by patents and regulatory exclusivity, manufactured in specialised bioreactor plants and sold to wholesalers, specialty pharmacies and hospitals. The value chain runs from target discovery and clinical development (the main cost and risk pool), through regulatory approval, to manufacturing, distribution and payer negotiation. Economic value is created at the discovery and approval stages and captured while exclusivity lasts; once biosimilars or generics enter, price and volume fall quickly. A reliable industry size and growth figure was not retrieved from a primary source, so scale is shown through the peer set in A4 instead: the six companies in that table generate roughly USD 210bn of trailing revenue.

The industry is capital intensive in R&D (Amgen spent 20.0% of trailing revenue on it) and in manufacturing (capital expenditure guided at about USD 2.6bn for 2026). It is regulated and politically exposed: the Inflation Reduction Act lets Medicare set prices

for selected drugs, with Enbrel affected from 1 January 2026 and Otezla from 1 January 2027. Customers are concentrated, with three wholesalers accounting for 77% of gross revenue, and payers and pharmacy benefit managers control formulary access.

Amgen FY2025 product sales by product, USD billion and share of USD 35.1bn product sales



Source: Amgen fourth quarter and full year 2025 results release, 3 February 2026. Fourteen largest products shown.

INDUSTRY STAGE: MATURE, POLICY-PRESSURED, STRUCTURALLY TRANSFORMING

> Large-cap biopharma is mature in its legacy franchises, which face patent expiry and government price setting, and is transforming at the edges through obesity, cardiometabolic and immunology biologics, where volumes are growing fast. The classification rests on two facts visible in Amgen's own results: its newer products grew 30 to 90% in 2025 while Enbrel fell 33% and Prolia and Xgeva fell 33% in the second quarter of 2026.

A2. What Does the Company Do?

Amgen sells prescription biologics in five groups. Bone health: Prolia and Xgeva (denosumab) and Evenity. Cardiovascular: Repatha (cholesterol lowering). Inflammation and respiratory: Enbrel, Otezla, Tezspire. Oncology: Blincyto, Kyprolis, Vectibix, Imdelltra, Lumakras, Nplate. Rare and specialty disease: Tepezza, Krystexxa, Uplizna, Tavneos. It also sells biosimilars (Amjevita, Pavblu, Wezlana, Mvasi). Customers are wholesalers who supply pharmacies and hospitals; the end payers are Medicare, commercial insurers and, outside the United States, national health systems. Revenue is largely recurring because most products treat chronic conditions, but pricing is set through rebates negotiated with payers, so net price is lower than list price and falls when policy changes (Enbrel's net selling price fell 22% in the second quarter of 2026 after Medicare price setting began).

Major operating costs are cost of sales (including amortisation of acquired intangibles), R&D (USD 6.97bn in FY2025), and selling and administration. Capital needs are moderate for a pharma company: capital expenditure was 5.1% of FY2025 revenue and 6.0% over the trailing year, mostly manufacturing capacity in Ohio, North Carolina and Puerto Rico. The most economically important lines are Repatha, Prolia/Xgeva, Evenity and the immunology group, which together carry most of the growth and most of the erosion risk.

How one dollar of revenue is used

On trailing figures, each dollar of revenue becomes 27 cents of cost of sales, 20 cents of R&D, 19 cents of selling, administrative and other operating items (derived), and 33 cents of GAAP operating profit. Of the 33 cents, about 7 cents goes to interest, 4 cents to tax, leaving 23 cents of net income; free cash flow is 27 cents because non-cash amortisation (12 cents of revenue) exceeds capital expenditure (6 cents).

1. CUSTOMER
Wholesalers (77% of gross revenue), hospitals, specialty pharmacies, national health systems

2. PRODUCT AND SERVICE
Over 25 biologics and biosimilars; 73% of sales in the United States, 27% elsewhere

3. REVENUE
USD 38.1bn trailing; product sales plus roughly USD 1.6bn of other revenue (royalties, collaboration)

4. COSTS
Cost of sales 27c, R&D 20c, SG&A and other 19c per dollar

5. OPERATING PROFIT
33.2% GAAP; 45 to 46% of product sales non-GAAP (management guidance)

6. CASH FLOW
Operating cash flow USD 12.5bn; free cash flow USD 10.2bn

7. CAPITAL ALLOCATION
Dividends USD 5.3bn, interest USD 2.7bn, capex USD 2.3bn, buybacks up to USD 3.0bn in 2026

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
McKesson, Cencora, Cardinal Health	Wholesale customers; each above 10% of revenue, 77% combined	Bargaining power over terms and credit; receivable days of 95 at FY2025 reflect their payment cycle.
Payers and PBMs	Medicare, commercial insurers and pharmacy benefit managers set formulary access and rebates	Net price, not list price, drives revenue; policy changes move margins directly.
AstraZeneca	Co-development and commercial partner on Tezspire	Shares economics on a product that grew 52% in FY2025.
UCB	Collaboration partner on Evenity	Evenity grew 34% in FY2025 and the patent expiry of 25 April 2026 matters for its outlook.
Kyowa Kirin	Rocatinlimab collaboration being terminated as part of portfolio prioritisation	Frees R&D capital but removes an inflammation late-stage asset.
Manufacturing network	Plants in Puerto Rico, Rhode Island, Ohio, California, North Carolina, Ireland, the Netherlands and Singapore	Scale and in-house production are the core of the cost position; expansions in Ohio and Puerto Rico support MariTide.
Brands and subsidiaries	Horizon Therapeutics (acquired 2023: Tepezza, Krystexxa, Uplizna)	Tepezza, Krystexxa and Uplizna together contributed USD 3.9bn of FY2025 sales; debt reached USD 64.6bn at end-2023.
Competitors	AbbVie, Regeneron, Novartis, Eli Lilly, Novo Nordisk, denosumab biosimilar makers	Contest each large franchise; see A4.

Source: Amgen Form 10-K FY2025; Amgen Q2 2026 results release; Amgen FY2025 results release. Horizon contribution is the sum of the three listed product lines.

A4. Competition

Direct competitors are drawn from the products that overlap Amgen's largest franchises, as listed in its 10-K. Repatha competes with Novartis (Leqvio) and Regeneron/Sanofi (Praluent). Otezla competes with AbbVie (Skyrizi, Humira), Eli Lilly (Taltz), Johnson & Johnson (Tremfya), Novartis (Cosentyx) and Bristol Myers Squibb (Sotyktu). Tezspire competes with Regeneron/Sanofi (Dupixent), AstraZeneca (Fasenra), GSK (Nucala) and Genentech/Novartis (Xolair). Prolia and Xgeva compete with bisphosphonates, generic zoledronate and denosumab biosimilars. Indirect and emerging competition comes in obesity from Eli Lilly (Zepbound) and Novo Nordisk (Wegovy), the weekly injections against which MariTide's monthly dosing is positioned, and in Lp(a) from Novartis. Gilead and Vertex are included in the valuation table as quality benchmarks for large-cap biotech, and Bristol Myers Squibb as a company facing a comparable patent cliff; scale figures for Lilly, Novo and Novartis were not retrieved and they are omitted from the table.

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS

Company	Revenue, bn	Op. margin	EV/EBITDA	Forward P/E	Net debt, bn
Amgen	38.1	33.2%	16.2x	18.6x	43.3
AbbVie	64.4	35.6%	18.5x	18.9x	64.3
Gilead Sciences	30.5	38.9%	14.5x	16.8x	21.4
Regeneron	15.5	26.9%	13.9x	12.4x	net cash 15.1
Bristol Myers Squibb	49.2	31.8%	8.4x	10.0x	33.6
Vertex	12.6	39.0%	23.8x	36.2x	net cash 11.7

Source: StockAnalysis.com company statistics pages, 22 October 2026; Amgen row calculated from company filings. Net debt derived as enterprise value less market capitalisation for peers.

Relative to peers, Amgen sits in the middle on margin and leverage and slightly below AbbVie on multiples. Its EV/EBITDA of 16.2x is 1.3 turns above Gilead and 7.8 turns above Bristol Myers Squibb, which the market values as a company with a larger patent cliff; the premium over those two reflects Amgen's 9.5% second-quarter revenue growth and the obesity option, while its leverage (2.5x net debt to EBITDA) is higher than that of Gilead. Vertex trades at a large premium because of its growth and net cash, and Regeneron at a discount that reflects its slower growth.

A5. Competitive Differences

Structural advantages: scale in biologics manufacturing (plants in the United States, Puerto Rico, Ireland, the Netherlands and Singapore) that few firms can replicate; a broad portfolio that limits dependence on any single product (the largest, Prolia, is 12.6% of product sales); a global commercial network; and a patent estate that protects Repatha to 2029, Enbrel to 2028 and Tezspire to 2034 (US dates in the 10-K). Temporary advantages: Evenity and Krystexxa composition patents expired in April 2026, and Prolia and Xgeva already face biosimilars. Disadvantages: exposure to Medicare price setting (Enbrel from 2026, Otezla from 2027), 77% wholesaler concentration, a leveraged balance sheet, and a competitor field in obesity that is further ahead on commercial scale.

MOAT ASSESSMENT: MODERATE

> Manufacturing scale and intellectual property are strong, but exclusivity is finite and the largest products are already losing it; revenue grew 9.9% in FY2025 and the operating margin of 29.1% was below the 2020 level of 35.9% and the 2022 level of 36.3%. Returns on invested capital of 16.9% in FY2025 (19.8% trailing) exceed a reasonable cost of capital, which supports a moat rating above Weak, but the margin history does not support Strong.

A6. Industry Trend

Growth in branded biopharma is driven by ageing populations, chronic disease prevalence and expanding indications for existing biologics; Amgen's Repatha, Evenity and Tezspire grew 36%, 34% and 52% in FY2025, all through broader use rather than price. Pricing is the opposing force: Repatha's net price is expected to fall by a mid-single-digit percentage in 2026, Enbrel's fell 22% in the second quarter, and most-favoured-nation policy and 340B expansion are cited as pressures in the 10-K. Technology change is most visible in obesity, where incretin drugs have created a very large market; Amgen's phase 2 data showed weight loss of up to 20% at 52 weeks in people without diabetes, in line with leading weekly products but with discontinuation for side effects of about 11% in dose-escalation arms against 7% in Zepbound's Phase 3.

The structural trends are the patent cycle, government price setting and the shift of growth toward cardiometabolic disease. Temporary conditions include tariff uncertainty and the timing of the January benefit-plan reset that depresses first-quarter sales. The trend would reverse if government price setting extended to more of Amgen's portfolio faster than new launches replace lost sales, or if obesity competition commoditised the monthly-dosing advantage.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Robert A. Bradway	Chairman and CEO (CEO since 2012, Chairman since 2013)	Age 63. Joined Amgen in 2006; CFO 2007 to 2010; COO 2010 to 2012. Previously Managing Director at Morgan Stanley in London. Director of Boeing since 2016. Amherst College, Harvard Business School.
Thomas Dittrich	EVP and CFO from 1 September 2026	Over 30 years of finance leadership; previously CFO of Galderma, Shire and Sulzer and held senior finance roles at Amgen.
Peter Griffith	EVP, outgoing CFO	CFO since 2020; retiring and remaining with the company through January 2027 to support the transition.
James Bradner	EVP, Research and Development, AI and Data	Leads research; previously president of Novartis Institutes for BioMedical Research (as publicly reported).
Murdo Gordon	EVP, Global Markets and Policy	Leads commercial and policy functions; previously a senior commercial executive at Bristol Myers Squibb (as publicly reported).
Susan Sweeney	EVP, Obesity and Related Conditions	Dedicated executive for the MariTide franchise.

Source: Amgen leadership page; Amgen 2026 proxy statement; announcement of CFO succession, 19 May 2026.

Capital allocation has been disciplined but leveraged. The 2023 acquisition of Horizon drove a net investing outflow of USD 26.2bn that year, raising debt from USD 38.9bn to USD 64.6bn, then reduced it to USD 54.6bn by the end of 2025, although it rose to USD 57.3bn by June 2026. It paid USD 5.1bn of dividends in FY2025 (66.5% of net income), made no repurchases in 2025 and has authorised up to USD 3.0bn for 2026. The dividend rose 6% to USD 2.52 a quarter. R&D has risen from 16.5% of revenue in 2020 to 20.0% on a trailing basis. Guidance has been raised: since February management has lifted 2026 revenue guidance from USD 37.0 to 38.4bn to USD 38.2 to 39.4bn and non-GAAP EPS guidance from USD 21.60 to 23.00 to USD 22.30 to 23.50. The annual cash bonus paid at 136% of target for 2025 because revenue (155% of target) and non-GAAP net income (133%) beat plan; this ties pay to growth, but also to adjusted rather than GAAP profit. Insider ownership percentages were not retrieved. The CFO transition, with the handover completed within four months of announcement, is a modest execution risk during the heaviest obesity spending phase.

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, US GAAP

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Gross margin	75.2%	75.7%	70.0%	61.5%	70.8%	72.7%
EBITDA margin	42.5%	49.3%	42.5%	38.4%	43.1%	45.4%
Operating (EBIT) margin	29.4%	36.3%	28.0%	21.7%	29.1%	33.2%
Net margin	22.7%	24.9%	23.8%	12.2%	21.0%	22.9%
ROIC	21.0%	24.4%	11.3%	11.9%	16.9%	19.8%
ROA	9.5%	10.4%	8.3%	4.3%	8.5%	n/a
ROE	73.2%	126.5%	135.8%	67.6%	106.1%	n/m

Source: company financial statements via Alpha Vantage; calculated by the analyst. EBITDA is operating income plus cash-flow depreciation and amortisation. ROIC is operating income taxed at the effective rate, divided by debt plus equity less cash. n/m: not meaningful.

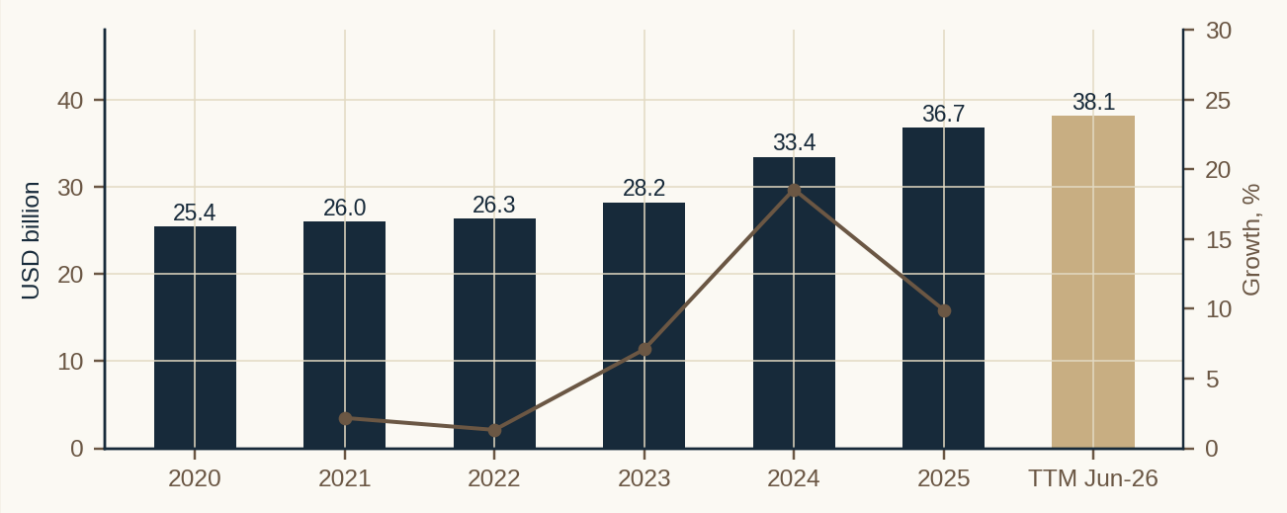
Operating margin fell from 36.3% in 2022 to 21.7% in 2024 because the Horizon acquisition added amortisation and inventory fair-value step-up to cost of sales, and recovered to 29.1% in 2025 and 33.2% over the trailing twelve months despite a USD 1.2bn Otezla impairment in 2025. ROE of 106% in 2025 is an artefact of a small book equity (USD 8.7bn after years of buybacks and the Horizon financing) and says little about economics; ROIC is the better guide, and at 19.8% it is back close to its 2020 and 2022 level of about 23 to 24%.

GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	Value	Period	Basis
Revenue CAGR	7.6%	FY2020 to FY2025	Calculated
Revenue CAGR	11.8%	FY2022 to FY2025	Calculated
EBITDA CAGR	4.5%	FY2020 to FY2025	Calculated
Net income CAGR	1.2%	FY2020 to FY2025	Calculated
EPS CAGR (net income per year-end share)	2.9%	FY2020 to FY2025	Calculated
Free cash flow CAGR	negative 3.9%	FY2020 to FY2025	Calculated
Asset turnover	0.40x	FY2025	Calculated
Inventory turnover (cost of sales over average inventory)	1.62x	FY2025	Calculated
Receivable days	95	FY2025	Calculated
Debt to EBITDA	3.3x	TTM Jun-26	Calculated
Net debt to EBITDA	2.5x	TTM Jun-26	Calculated
Debt to equity	4.9x	Jun-26	Calculated
Interest coverage (EBIT)	4.7x	TTM Jun-26	Calculated
Free cash flow margin	26.7%	TTM Jun-26	Calculated
Operating cash flow to net income	1.43x	TTM Jun-26	Calculated
Capital expenditure to revenue	6.0%	TTM Jun-26	Calculated
Free cash flow yield	4.3%	TTM over market cap	Calculated

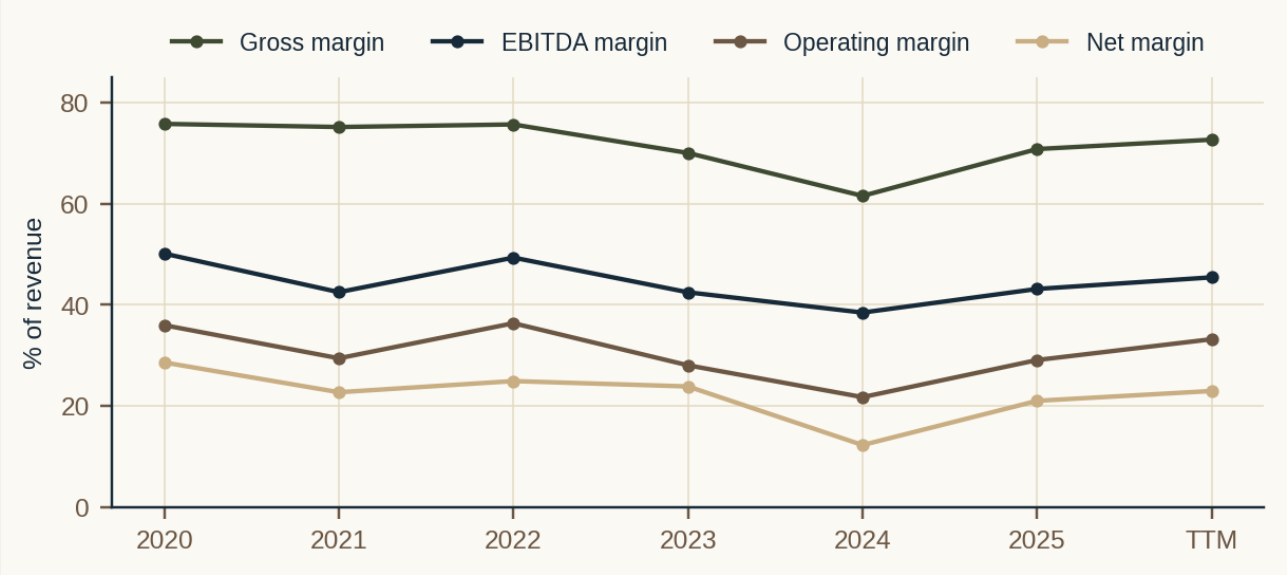
Revenue growth has not translated into proportional profit growth: revenue compounded at 7.6% since 2020 but net income at 1.2% and free cash flow declined 3.9% a year, because acquisition-related amortisation, R&D (16.5% to 20.0% of revenue) and interest (USD 1.3bn in 2020 to USD 2.7bn) absorbed the growth. The share count fell from 590 million to 542 million, adding about 1.7 points to annual EPS growth. Cash conversion is good, with operating cash flow 1.43 times net income over the trailing year, largely because amortisation of USD 4.7bn is non-cash. Inventory days of 212 and receivable days of 95 are high and typical of biologics sold through wholesalers.

Revenue and annual growth, FY2020 to FY2025 and trailing twelve months to June 2026



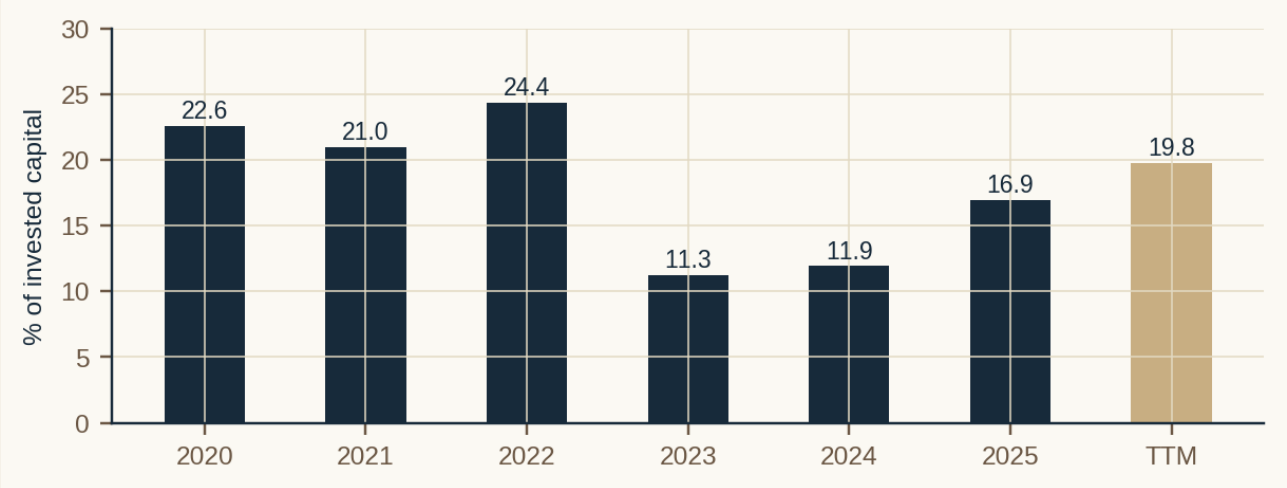
Source: company financial statements via Alpha Vantage; trailing twelve months calculated from four reported quarters. Units: USD billion; growth in percent.

Gross, EBITDA, operating and net margin



Source: company financial statements via Alpha Vantage; calculated by the analyst. Units: percent of revenue. Period: FY2020 to FY2025 and trailing twelve months to June 2026.

Return on invested capital



Source: calculated from company financial statements via Alpha Vantage. Units: percent. Period: FY2020 to FY2025 and trailing twelve months to June 2026.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Denosumab, Enbrel and Otezla erosion	High	High	Prolia and Xgeva (18.5% of FY2025 product sales) fell 33% in Q2 2026; Enbrel fell 33% in FY2025; Otezla faces Medicare price setting from 2027 and fell 21% in Q2 2026.
2	Drug pricing policy	High	High	Medicare price setting, most-favoured-nation policy, 340B expansion and PBM controls; Repatha net price guided down mid-single digit in 2026.
3	Obesity pipeline and valuation	Medium	High	MariTide Phase 3 data could disappoint on efficacy or tolerability (11% discontinuation in phase 2 dose escalation arms); the share price already carries pipeline value above the DCF base case.
4	Leverage and refinancing	Medium	Medium	Debt USD 57.3bn, USD 5.4bn current, interest USD 2.7bn a year; book equity 12.2% of assets.
5	Customer concentration	Medium	Medium	Three wholesalers are 77% of gross revenue; disputes over terms or credit would hit cash flow.
6	Regulatory action on single products	Medium	Low	FDA asked for voluntary withdrawal of Tavneos (USD 459m, 1.3% of FY2025 product sales); Amgen declined on 28 January 2026.
7	Tariffs and supply chain	Medium	Medium	Cited in the 10-K; large manufacturing base in Puerto Rico and Ireland.
8	Competitive and technological	Medium	Medium	Biosimilars in denosumab and other franchises, weekly obesity incumbents; AI and automation are not material risks to the revenue model.
9	Macro and rates	Low	Medium	The 10-year Treasury yield is 5.12%; higher rates lower DCF value and raise refinancing cost, though demand is non-cyclical.
10	Key-person and succession	Medium	Low	CEO since 2012; CFO changes on 1 September 2026.

Source: analyst assessment using Amgen Form 10-K FY2025 and Q2 2026 results. Probability and impact are qualitative.

The three risks most capable of permanently impairing shareholder value are the combined erosion of established franchises, the escalation of government price controls, and a clinical or competitive failure in obesity at a time when the share price already capitalises it.

B3. Valuation

VALUATION MULTIPLES: CURRENT AGAINST FISCAL YEAR-END HISTORY

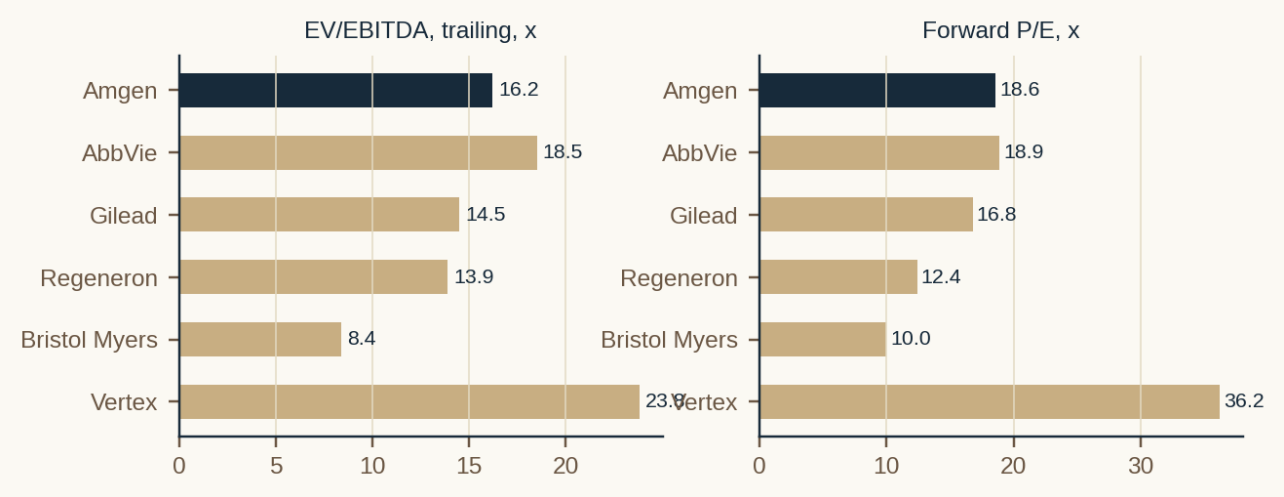
Multiple	Current	FY2021	FY2022	FY2023	FY2024	FY2025
Price, USD	438.34	224.97	262.64	288.02	262.65	332.93
Market cap, USD bn	237.0	128.9	142.1	155.0	142.1	180.4
Enterprise value, USD bn	280.3	154.2	173.4	208.6	190.2	225.9
P/E (GAAP)	27.1x	21.9x	21.7x	23.1x	34.7x	23.4x
EV/EBITDA	16.2x	14.0x	13.4x	17.4x	14.8x	14.3x
P/FCF	23.3x	15.4x	16.2x	21.1x	13.7x	22.3x

Source: Alpha Vantage prices (last weekly close of each December) and company statements; calculated by the analyst. Current multiples use trailing twelve months to June 2026 and the 21 October 2026 close. Forward P/E is 18.6x (StockAnalysis.com, 22 October 2026). EV/Revenue is 7.4x; EV/EBIT is 22.2x; EV/FCF is 27.5x; P/S is 6.2x.

Against its own history, the current P/E of 27.1x is above the five-year fiscal year-end average of 25.0x but within the range of 21.7x to 34.7x, with the 2024 peak distorted by Horizon charges. EV/EBITDA of 16.2x is above the midpoint (15.4x) of

its 13.4x to 17.4x range, and P/FCF of 23.3x is above the top of its five-year range of 13.7x to 22.3x. Against peers, Amgen's EV/EBITDA of 16.2x and forward P/E of 18.6x are below AbbVie and Vertex and above Gilead, Regeneron and Bristol Myers Squibb. A PEG ratio is not meaningful because non-GAAP EPS growth at the guidance midpoint is only 4.9% (USD 22.90 against USD 21.84).

Peer valuation: trailing EV/EBITDA and forward P/E



Source: StockAnalysis.com, 22 October 2026. Units: multiples, times.

Market expectations. Holding the operating case constant, the discounted cash flow in C5 supports USD 264 to 402 per share across WACC of 9.0% to 7.0% and USD 322 at 8.0%. Even eight per cent annual revenue growth from 2027 at a 33.5% operating margin yields only about USD 386 at an 8.0% WACC. The share price of USD 438 therefore needs a WACC near 7.0% with terminal growth near 2.4%, or the bull-case operating path (revenue of USD 51bn and margin of 37.5% by 2030, USD 514 per share), or a pipeline value that is not in the base case. We classify the embedded expectations as Optimistic.

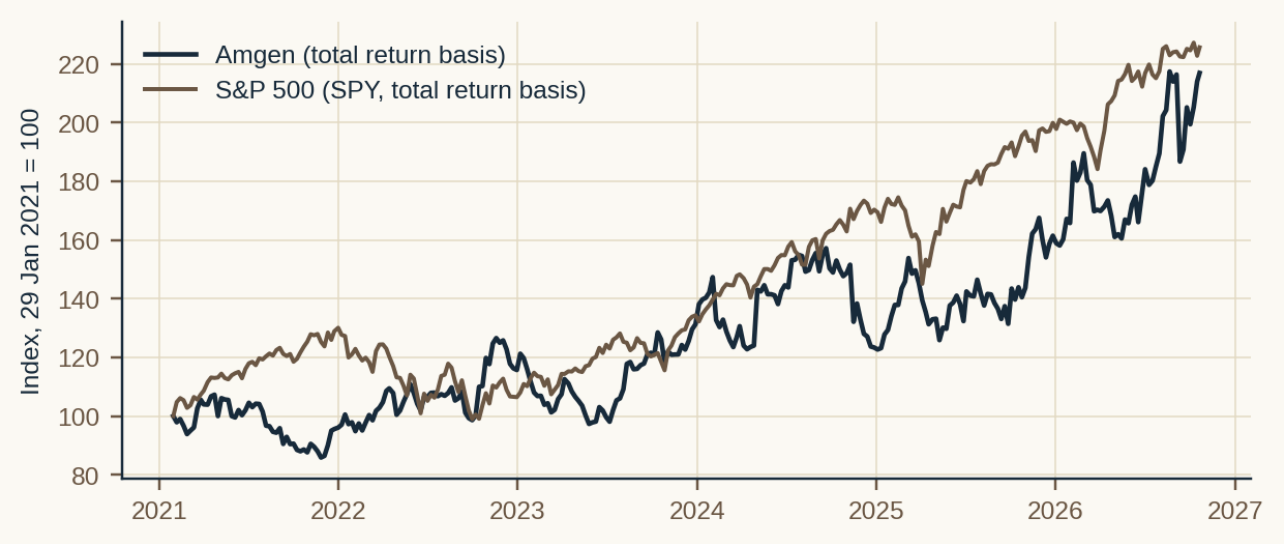
B4. Capital Market and Stock Analysis

PRICE PERFORMANCE, TOTAL RETURN BASIS, TO 21 OCTOBER 2026

Period	Amgen	S&P 500 (SPY)	Relative
One week	5.7%	negative 0.7%	6.4 pts
One month	13.7%	1.5%	12.2 pts
Three months	20.4%	4.3%	16.1 pts
Six months	25.0%	9.4%	15.6 pts
Year to date	34.3%	12.9%	21.5 pts
One year	50.7%	17.6%	33.1 pts
Three years	72.0%	90.3%	negative 18.3 pts
Five years	146.4%	85.4%	61.0 pts

Source: Alpha Vantage adjusted weekly closes for AMGN and SPY (dividends reinvested); calculated by the analyst. Not an investment recommendation; past performance does not predict future returns.

Amgen against the S&P 500, rebased to 100 on 29 January 2021

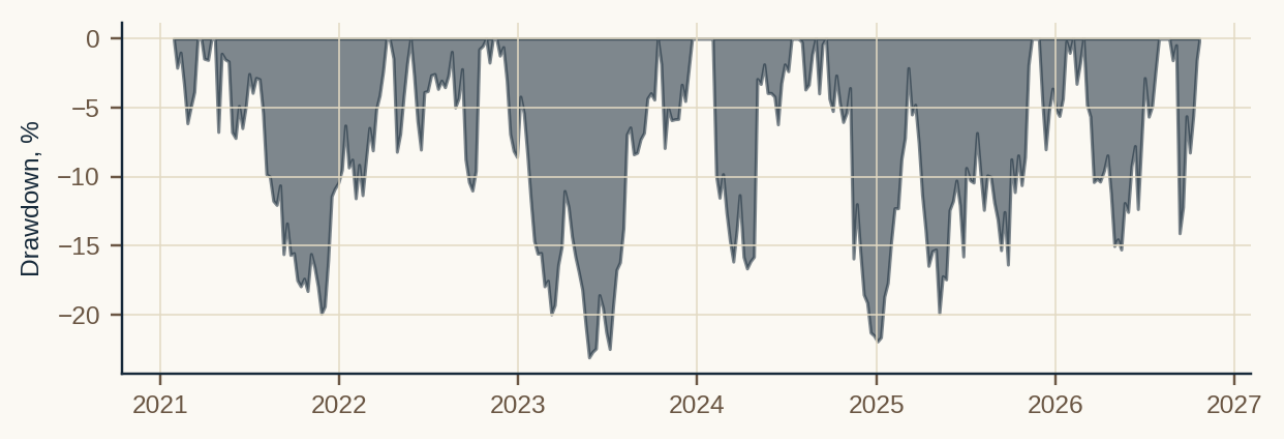


Source: Alpha Vantage adjusted weekly closes, 29 January 2021 to 21 October 2026. Units: index level.

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility, since January 2021	24.8%	Weekly returns, calculated
Annualised volatility, three years	27.5%	Weekly returns, calculated
S&P 500 annualised volatility	15.7%	Weekly returns, calculated
Downside volatility	16.0%	Weekly returns, calculated
Beta versus S&P 500, since January 2021	0.40	Weekly, calculated
Beta, three years	0.35	Weekly, calculated
Five-year beta	0.41	StockAnalysis.com
Correlation with S&P 500	0.25	Weekly, calculated
Maximum drawdown	negative 23.1%	18 Nov 2022 to 26 May 2023, weekly closes
Best and worst week	15.3% and negative 13.7%	Calculated

Amgen drawdown from running peak, total return basis



Source: Alpha Vantage adjusted weekly closes, 29 January 2021 to 21 October 2026. Units: percent.

Behaviour. Amgen trades as a defensive stock: beta of 0.40, correlation of 0.25 and a maximum drawdown of 23.1% against a benchmark that itself moved at 15.7% volatility. Its own volatility of 24.8% is high for a defensive name because of event risk from earnings and trial news; the best week was 15.3% and the worst 13.7%. It underperformed the index over three years and has outperformed over one and five, so the one-year gain of 50.7% is recent rather than part of a long trend. The drawdown to May 2023 was recovered by October 2023, about 4.5 months after the trough.

Technical structure. The price of 438.34 is 5.3% above the 50-day average (416.21) and 18.3% above the 200-day average (370.53), within 0.2% of its 52-week high of 439.33 (weekly closes) and 50% above the 52-week low of 291.76. The weekly RSI is 63.6 (daily 63.0 per StockAnalysis.com), not overbought; weekly MACD is positive at 20.6 against a signal line of 18.8, a narrowing gap that suggests momentum is flattening. The week to 11 September 2026 fell 13.7% and was retraced in about six weeks, which makes the area near 377 the nearest support and 439 the resistance. These are market-structure observations only: strong momentum and a rerated multiple describe how the market has priced the stock, not what the business is worth. Average volume and average true range were not retrieved from the data used.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION, US GAAP

USD million	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	25,979	26,323	28,190	33,424	36,741	38,125
Growth	2.2%	1.3%	7.1%	18.6%	9.9%	n/a
Gross profit	19,525	19,917	19,739	20,566	26,012	27,698
R&D	6,324	4,434	4,784	5,964	6,974	7,638
SG&A and other (derived)	5,562	5,917	7,058	7,344	8,362	7,412
Operating income	7,639	9,566	7,897	7,258	10,676	12,648
EBITDA	11,037	12,983	11,968	12,850	15,843	17,315
Interest expense	1,197	1,406	2,875	3,155	2,755	2,668
Income tax	808	794	1,138	519	1,265	1,544
Net income	5,893	6,552	6,717	4,090	7,711	8,743
EPS, USD (net income per share)	10.28	12.11	12.48	7.56	14.23	16.07
Shares, million (period end)	573	541	538	541	542	544

Source: company financial statements via Alpha Vantage; FY2025 revenue, product sales and EPS agree to the Amgen results release of 3 February 2026. SG&A and other is derived as gross profit less R&D less operating income, because the vendor SG&A line is not consistent between years. EPS is net income divided by period-end shares, so it differs slightly from reported diluted EPS in some years; the reported FY2025 GAAP diluted EPS is USD 14.23 and non-GAAP is USD 21.84.

Growth. FY2025 revenue rose 9.9% to USD 36.7bn: product sales of USD 35.1bn grew 10% and other revenue was USD 1.6bn. Management attributes second-quarter 2026 growth to volume, with prices falling in Enbrel, Repatha and Otezla; the 2024 jump of 18.6% includes the first full year of Horizon products. Currency and organic splits were not retrieved. Mix is shifting: Repatha (up 36%), Evenity (34%), Tezspire (52%), Uplizna (73%) and Imdelltra (above 100%) added growth, while Prolia and Xgeva, Enbrel and Amjevita declined.

Margins and operating leverage. Operating income rose 47% in FY2025 on 9.9% revenue growth because cost of sales fell from USD 12.9bn to USD 10.7bn as Horizon inventory step-up charges passed, even though R&D rose 17% and a USD 1.2bn Otezla impairment was booked. In the second quarter of 2026, GAAP operating income was USD 3.5bn against non-GAAP USD 4.6bn; the USD 1.1bn gap is mostly non-cash amortisation (USD 937m) and litigation costs (USD 115m). Non-GAAP EPS of USD 6.29 against GAAP USD 4.37 shows how much the adjusted measure excludes; amortisation is a real economic cost of acquisitions, so GAAP remains the anchor for valuation here. Net income margin of 22.9% trailing is expanding versus 12.2% in 2024, but still below the 28.6% of 2020.

C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION

USD million	FY2021	FY2022	FY2023	FY2024	FY2025	Jun-26
Cash and equivalents	7,989	7,629	10,944	11,973	9,129	13,989
Receivables	5,839	6,392	7,942	7,501	9,570	10,227
Inventory	4,086	4,930	9,518	6,998	6,225	6,220
Goodwill	14,890	15,529	18,629	18,637	18,680	18,668
Other intangibles	15,182	16,080	32,641	27,699	22,276	20,487
Total assets	61,165	65,121	97,154	91,839	90,586	95,639
Total debt	33,309	38,945	64,613	60,099	54,604	57,304
Shareholders' equity	6,700	3,661	6,232	5,877	8,658	11,688
Net debt	25,320	31,316	53,669	48,126	45,475	43,315
Current ratio	1.59x	1.41x	1.65x	1.26x	1.14x	1.37x
Quick ratio	1.26x	1.10x	1.13x	0.95x	0.90x	1.13x
Equity ratio	11.0%	5.6%	6.4%	6.4%	9.6%	12.2%
Net debt to EBITDA	2.3x	2.4x	4.5x	3.7x	2.9x	2.5x
Goodwill and intangibles to equity	4.5x	8.6x	8.2x	7.9x	4.7x	3.4x

Source: company balance sheets via Alpha Vantage; ratios calculated by the analyst. Jun-26 net debt to EBITDA uses trailing twelve month EBITDA. Property, plant and equipment is not separately reported in the data used.

The balance sheet is leveraged but improving. Net debt peaked at USD 53.7bn (4.5x EBITDA) after Horizon and has fallen to USD 43.3bn (2.5x); equity has grown from USD 3.7bn in 2022 to USD 11.7bn as profits retained exceeded dividends. Goodwill and intangibles of USD 39.2bn are 41% of total assets and 3.4 times equity, so an impairment (the Otezla charge of USD 1.2bn in 2025 is an example) would not threaten liquidity but would reduce book equity. Working capital is deteriorating at the margin: receivable days rose from 65 in 2020 to 95 in 2025, the quick ratio fell below 1.0 in 2024 and 2025, and USD 5.4bn of debt is due within a year, and the 10-K lists 2.00% senior notes due 2026. Off-balance-sheet obligations and pension liabilities were not retrieved.

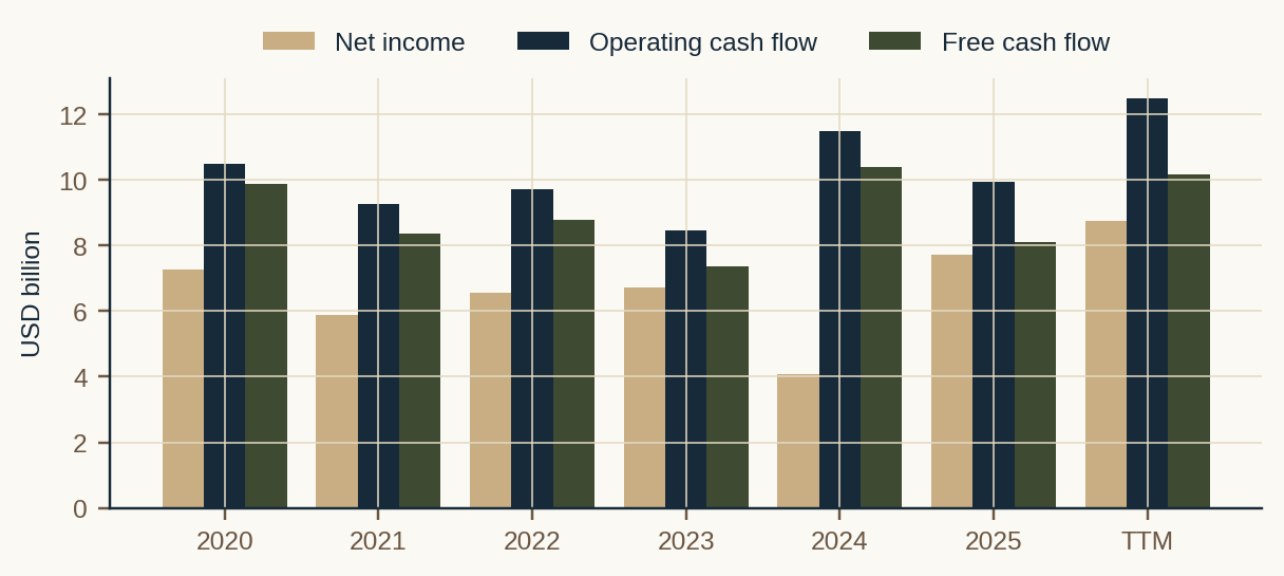
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

USD million	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Operating cash flow	9,261	9,721	8,471	11,490	9,958	12,478
Capital expenditure	880	936	1,112	1,096	1,858	2,303
Free cash flow	8,381	8,785	7,359	10,394	8,100	10,175
Dividends paid	4,013	4,196	4,556	4,832	5,124	5,285
Investing cash flow	733	negative 6,044	negative 26,204	negative 1,046	negative 1,943	n/a
Financing cash flow	negative 8,271	negative 4,037	21,048	negative 9,415	negative 10,859	n/a
Free cash flow margin	32.3%	33.4%	26.1%	31.1%	22.0%	26.7%
Free cash flow to net income	1.42x	1.34x	1.10x	2.54x	1.05x	1.16x
Capex to revenue	3.4%	3.6%	3.9%	3.3%	5.1%	6.0%

Source: company cash flow statements via Alpha Vantage; FCF is operating cash flow less capital expenditure, calculated. FY2025 OCF, capex and FCF (USD 10.0bn, 1.9bn, 8.1bn) agree to the Amgen results release.

Net income, operating cash flow and free cash flow



Source: company cash flow statements via Alpha Vantage; calculated. Units: USD billion. Period: FY2020 to FY2025 and trailing twelve months to June 2026.

Cash generation is strong and above accounting earnings: free cash flow exceeded net income in every period shown. The gap is widest in 2024 (FCF 2.5 times net income) because net income of USD 4.1bn carried USD 5.6bn of non-cash amortisation and inventory step-up charges that did not use cash. In FY2025 free cash flow fell to USD 8.1bn from USD 10.4bn because capex rose 70% to USD 1.9bn (new manufacturing sites) and operating cash flow dropped USD 1.5bn; the second quarter of 2026 recovered to USD 3.5bn, which management says was helped by the timing of repatriation tax payments, so part of the trailing figure is timing. Dividends consume 52% of trailing free cash flow; after dividends about USD 4.9bn remains for debt reduction, buybacks and acquisitions, because interest is already deducted in operating cash flow. Financing outflows of USD 9.4bn and USD 10.9bn in 2024 and 2025 reflect debt repayment and dividends.

C4. Forecasting and Projections

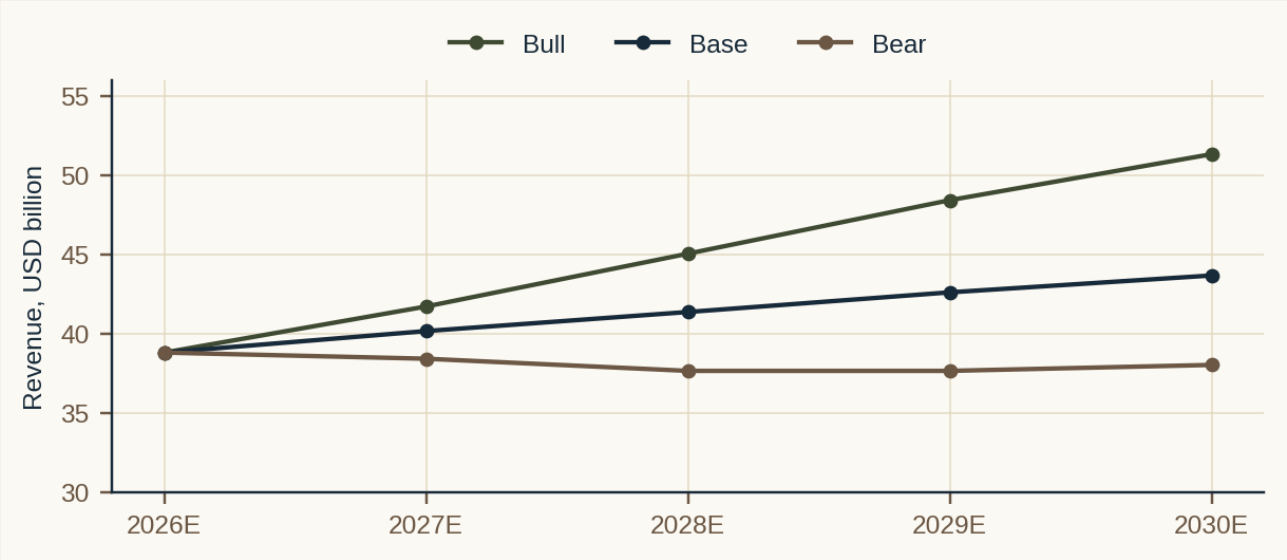
The projections are analyst scenarios built on management's 2026 revenue guidance (USD 38.2bn to 39.4bn, midpoint 38.8bn) and are not forecasts of the share price. Revenue is modelled in aggregate rather than by segment: the segment drivers are the offset between growth in Repatha, Evenity, Tezspire, Uplizna, Imdelltra and Blincyto (30 to 90% in the latest year) and erosion in Prolia, Xgeva, Enbrel, Otezla and Amjevita. Volume rather than price drives growth, with net price falling in Repatha, Enbrel and Otezla. Market share data by product were not retrieved.

SCENARIO ASSUMPTIONS AND OUTPUTS

Item	Bear	Base	Bull
Revenue growth 2027E to 2030E	negative 1.0% to 1.0%	2.5% to 3.5%	6.0% to 8.0%
Revenue 2030E, USD bn	38.0	43.7	51.3
Operating margin 2030E	29.0%	33.5%	37.5%
Unlevered free cash flow 2030E, USD bn	10.9	14.1	18.1
WACC	9.0%	8.0%	7.5%
Terminal growth	1.5%	2.0%	2.5%
Value per share, USD	180	322	514

Source: analyst model. Revenue for 2026E is USD 38.8bn in all three cases (guidance midpoint). Bear case assumes faster biosimilar and price erosion and no obesity contribution; bull case assumes a MariTide approval and Lp(a) success that add sustained growth.

Revenue scenarios, 2026E to 2030E



Source: analyst model based on Amgen 2026 guidance. Units: USD billion.

Margins. Operating margin held at 33.5% in the base case (trailing 33.2%) assumes gross margin stays near 72 to 73%, R&D at about 20% of revenue (non-GAAP R&D is guided up high single digits in 2026 including MariTide trial costs) and falling acquisition amortisation offsetting erosion of high-margin older products. Working capital is modelled at 12% of incremental revenue, consistent with receivable days of 95 and inventory days of 212. Capital expenditure is 6.8% of revenue in 2026E falling to 6.0%, consistent with guidance of about USD 2.6bn; the split between maintenance and growth capex was not disclosed in the sources used, and the elevated level reflects growth capacity for MariTide, so base-case free cash flow is conservative if that programme is delayed.

C5. Discounted Cash Flow (DCF) Model

BASE CASE DCF OUTPUTS, USD MILLION EXCEPT PER SHARE

Item	Value
Present value of unlevered free cash flow, 2026E to 2030E	53,900
Terminal value at 2030E (Gordon growth)	242,800
Present value of terminal value	163,500
Enterprise value	217,400
Less: net debt (30 June 2026)	43,315
Equity value	174,100
Shares outstanding, million	541
Value per share, USD	322
Terminal value as share of enterprise value	75.2%

Source: analyst model. Net debt from the Q2 2026 results release; shares outstanding from StockAnalysis.com, 22 October 2026. Cash flows discounted at year end.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	1.50%	1.75%	2.00%	2.25%	2.50%
7.0%	366	383	402	423	446
7.5%	329	343	358	375	394
8.0%	297	309	322	336	351
8.5%	270	280	291	302	315
9.0%	247	255	264	274	285

SENSITIVITY: REVENUE GROWTH SHIFT (ROWS, APPLIED 2027E TO 2030E) AGAINST OPERATING MARGIN SHIFT (COLUMNS), VALUE PER SHARE, USD

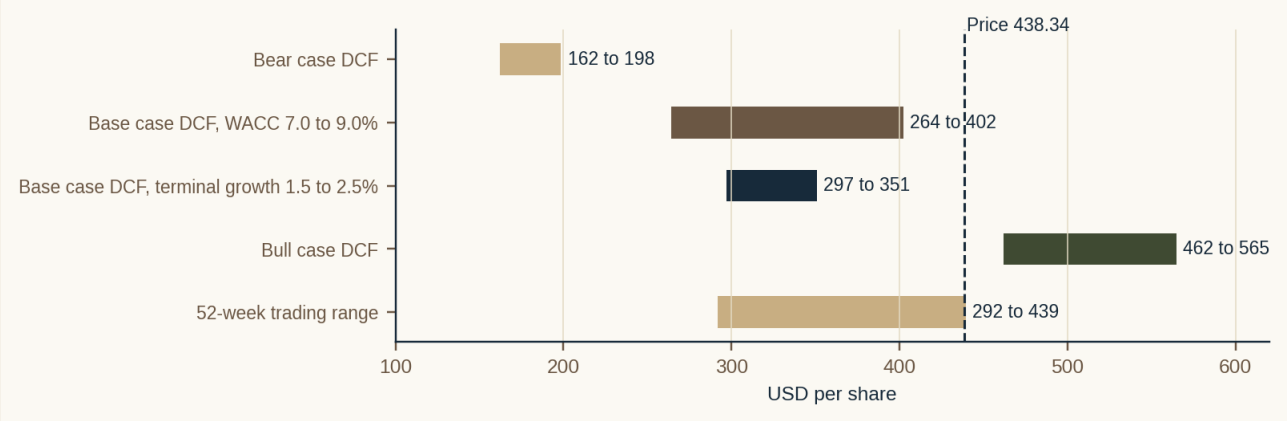
Growth shift	Margin minus 4 pts	Minus 2 pts	Base	Plus 2 pts	Plus 4 pts
Minus 2 pts	259	278	298	317	337
Minus 1 pt	269	290	310	330	350
Base	280	301	322	343	363
Plus 1 pt	291	313	334	356	377
Plus 2 pts	302	325	347	369	391

Source: analyst model. WACC 8.0% and terminal growth 2.0% held constant in the second table.

Assumptions. Revenue grows 5.6% in 2026E (to USD 38.8bn), then 3.5%, 3.0%, 3.0% and 2.5%. Operating margin is 33.5% (GAAP basis, after amortisation) with a 16% cash tax rate (guided non-GAAP tax rate 15.0 to 16.5%). Depreciation and amortisation fall from 12.5% to 10.5% of revenue; capex falls from 6.8% to 6.0%; working capital absorbs 12% of incremental revenue. WACC is 8.0%: the 10-year Treasury yield of 5.12% (20 October 2026), a Blume-adjusted beta of 0.61 (from a raw 0.41) and a 5.0% equity risk premium give a cost of equity of 8.2%; with a pre-tax cost of debt of 4.7% (trailing interest over debt) taxed at 16% and a debt weight of 19.5% the mechanical result is 7.4%. The base case uses 8.0% because the raw beta is unusually low for a company with patent concentration and policy exposure, and the range of 7.0 to 9.0% is shown. Terminal growth of 2.0% is below nominal GDP. Shares are 541 million.

The DCF produces a range, not a point value: USD 264 to 402 across WACC of 9.0 to 7.0% at 2.0% terminal growth, USD 297 to 351 across terminal growth of 1.5 to 2.5% at 8.0% WACC, with USD 180 (bear) and USD 514 (bull) as scenario bounds. The base case does not include value for MariTide or olpasiran beyond what is embedded in the trend and capex; 75% of value sits in the terminal period, which makes the result sensitive to the discount rate.

Valuation reference ranges against the current price



Source: analyst model; 52-week range from Alpha Vantage weekly closes. Units: USD per share. Date: 21 October 2026.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of USD 280bn and net debt already at 2.5 times EBITDA, no financial sponsor could assemble the equity and debt needed, and a transaction of this size would face antitrust and financing constraints that make an LBO analysis uninformative.

D. Investment Thesis

Bull Case

The bull case needs revenue growth of 6 to 8% a year to reach about USD 51bn by 2030 with operating margin rising to 37.5%. That requires newer products to outgrow erosion by a wide margin (Repatha, Tezspire, Uplizna and Imdelltra are already growing 37 to above 100%), MariTide to reach market with a convincing monthly-dosing profile, olpasiran to succeed in cardiovascular outcomes, and operating leverage as acquisition amortisation falls. Buybacks of up to USD 3.0bn a year and deleveraging would add to per-share value, and a lower discount rate would support valuation expansion. On this path the DCF gives about USD 514 per share.

Bear Case

Growth stalls at the 2026 level and revenue drifts to USD 37.6bn to 38.0bn as denosumab and Enbrel erode faster, Medicare and most-favoured-nation pricing extend to more products, MariTide data disappoint, and operating margin compresses to 29% under R&D and manufacturing costs. Net debt to EBITDA would rise toward 3.0x if EBITDA fell by one sixth, interest cover would shrink toward 3.5x, and the multiple would contract toward the 21.7x P/E of 2021 and 2022 or lower. The DCF gives about USD 180 per share; applying 21.7x to trailing GAAP EPS of USD 16.07 gives about USD 349, which shows how much of the current price is multiple rather than earnings.

Base Case

Revenue of USD 38.8bn in 2026 growing 2.5 to 3.5% thereafter, to USD 43.7bn in 2030, with a 33.5% GAAP operating margin, free cash flow of USD 10 to 12bn a year, dividends rising mid-single digits, and gradual debt reduction. This supports a DCF value of about USD 322 per share and a range of USD 264 to 402. The current price of USD 438.34 sits above that range, so the market is paying for part of the bull case.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Q3 2026 results	3 November 2026	Tests the 2026 guidance range and the pace of Prolia, Xgeva and Enbrel erosion; consensus EPS estimate USD 5.72 (data vendor).
CFO transition complete	1 September 2026 onward	New CFO sets tone on leverage and buybacks after USD 3.0bn limit for 2026.
MariTide Phase 3 progress	2026 and beyond	Nine Phase 3 studies running and three more in type 2 diabetes to start in 2026; readout dates not given.
Olpasiran outcomes trial	Not disclosed	First Lp(a) outcomes data would validate or reject a major cardiovascular opportunity.
Medicare price setting for Otezla	1 January 2027	Another price reset on a USD 2.3bn product.
FDA decision on Tavneos	Not disclosed	Withdrawal request would remove USD 459m of sales.
Share repurchases	Through 2026	Up to USD 3.0bn authorised; none executed in 2025 or the second quarter of 2026.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Prolia and Xgeva sales	18.5% of product sales eroding at one third a year	Decline slower than 30% a year	Decline faster than 40% a year
Combined growth products	Repatha, Evenity, Tezspire, Uplizna, Imdelltra offset erosion	Total revenue growth above 6%	Revenue growth below 3%
Net selling prices	Policy and rebate pressure	Repatha price decline within mid-single digit	Enbrel type 20% cuts on further products
Net debt to EBITDA	Leverage after Horizon	Below 2.0x	Above 3.0x
Free cash flow margin	Cash support for dividend and capex	Above 25%	Below 20%
MariTide trial data	Valuation depends on pipeline	Efficacy near 20% weight loss with tolerability better than phase 2	Discontinuation above 15% or efficacy below competitors
Operating margin (GAAP)	Operating leverage	Above 35%	Below 30%

E. Final Investment Framework

BUSINESS QUALITY	High. Gross margin of 72.7%, recurring chronic-disease demand and a diversified portfolio of over 20 near-USD 1bn products.
FINANCIAL QUALITY	Good. Operating cash flow is 1.43 times net income and free cash flow margin 26.7%, though adjusted earnings overstate GAAP by about 30% in the second quarter.
COMPETITIVE POSITION	Moderate to strong. Manufacturing scale and patents against biosimilar and government pricing pressure.
MANAGEMENT	Good record of execution and guidance raises; CEO tenure of 14 years; CFO changes in September 2026; leverage was taken on for Horizon and is being reduced.
INDUSTRY	Mature and policy-pressured, with growth pockets in cardiometabolic and immunology.
VALUATION	Full. 27.1x trailing GAAP earnings, 16.2x EBITDA, 4.3% free cash flow yield; price above the base-case DCF range and the average analyst target.
TECHNICAL AND MARKET STRUCTURE	Constructive trend (above both averages, near the 52-week high) with low beta, but extended after a 50.7% one-year gain.
PRINCIPAL RISK	Simultaneous erosion of denosumab, Enbrel and Otezla combined with tighter drug pricing policy.
PRINCIPAL CATALYST	MariTide Phase 3 progress and the Q3 2026 results on 3 November 2026.
KEY VARIABLE	Net growth: whether newer product growth exceeds legacy erosion by more than USD 1.5bn a year.
THESIS INVALIDATION	The investment thesis would become materially weaker if trailing revenue growth falls below 3%, GAAP operating margin falls below 30%, net debt to EBITDA rises above 3.0x, or MariTide Phase 3 efficacy is clearly below that of weekly competitors.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalisation	USD 237.0bn	USD 180.4bn	3Y: USD 142.1bn (2022)
Market	Enterprise value	USD 280.3bn	USD 225.9bn	3Y: USD 173.4bn (2022)
Market	Share price	USD 438.34	USD 332.93	3Y return 72.0%
Growth	Revenue growth	9.5% (Q2 2026)	9.9% (FY2025)	3Y CAGR 11.8%; 5Y 7.6%
Profitability	Gross margin	72.7%	70.8%	5Y: 75.8% (2020)
Profitability	Operating margin	33.2%	29.1%	5Y: 35.9% (2020)
Profitability	Net margin	22.9%	21.0%	5Y: 28.6% (2020)
Profitability	ROE	n/m	106.1%	Distorted by small equity
Profitability	ROIC	19.8%	16.9%	5Y: 22.6% (2020)
Cash flow	Operating cash flow	USD 12.5bn	USD 10.0bn	5Y CAGR negative 1.0%
Cash flow	Free cash flow	USD 10.2bn	USD 8.1bn	5Y CAGR negative 3.9%
Leverage	Net debt / EBITDA	2.5x	2.9x	Peak 4.5x (2023); 2.1x (2020)
Valuation	P/E	27.1x	23.4x	FY-end range 21.7x to 34.7x
Valuation	EV/EBITDA	16.2x	14.3x	FY-end range 13.4x to 17.4x
Valuation	P/FCF	23.3x	22.3x	FY-end range 13.7x to 22.3x
Market	Beta	0.40	n/a	3Y beta 0.35
Market	Volatility	24.8%	n/a	3Y 27.5%
Market	Maximum drawdown	negative 23.1%	n/a	Since January 2021

Source: analyst calculations. Current: trailing twelve months to June 2026 and the 21 October 2026 close. Prior year: fiscal 2025 and the last weekly close of December 2025. Trend: fiscal years 2020 to 2025 unless stated.

G. Sources and Methodology

Data cross-check

Key figures were compared across sources before use. FY2025 revenue of USD 36,741m in the data vendor statements agrees with the Amgen results release (USD 36.8bn; product sales USD 35,148m). Trailing market capitalisation (USD 236.98bn), enterprise value (USD 280.30bn), P/E (27.2x against 27.1x calculated), EV/EBITDA (16.23x against 16.19x calculated) and ROIC (19.76% against 19.8% calculated) agree with StockAnalysis.com within rounding. Where the vendor statements were inconsistent, the analyst used derived figures: the vendor SG&A line and quarterly gross profit classification vary between periods, so SG&A and other items are derived from gross profit, R&D and operating income, and EBITDA is operating income plus cash-flow depreciation and amortisation (the vendor EBITDA equals operating income in 2023). The one-year price gain from weekly closes (50.7% total return) differs from StockAnalysis.com's daily-based 52-week change of 44.5% because of the different start dates and dividend treatment. Volatility, beta and drawdown are computed from weekly data and will differ from daily-based figures. Preferred sources: company filings and results releases over data vendors; where a company figure and a vendor figure conflicted, the company figure was used.

Source list

Primary Sources

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Calculations

Calculated by the analyst from the sources above: trailing twelve month figures (sum of the four quarters to June 2026), EBITDA, free cash flow, margins, returns on capital, leverage and coverage ratios, fiscal year-end valuation multiples, price returns, volatility, beta, drawdown, technical indicators from weekly data, the scenario model, the discounted cash flow and its sensitivities. All other numbers are as reported by the company or the named provider.

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